



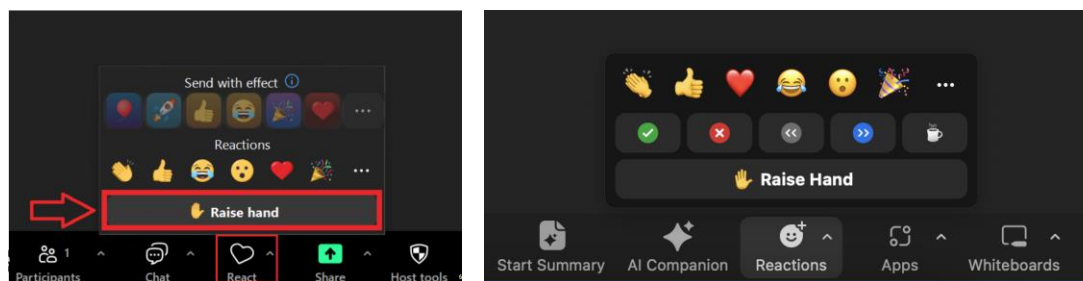
Damn good advice for treasurers

Questions every NFP treasurer should ask

Presenter: Nina Laitala, Institute of Community Directors Australia

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Nina Laitala

- 20 + years community leadership
- Former CEO Victorian Student Representative Council
- Musician
- Experienced chair, deputy chair and secretary



Chief Member
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Sophie Scott-
Young



What we'll cover today:

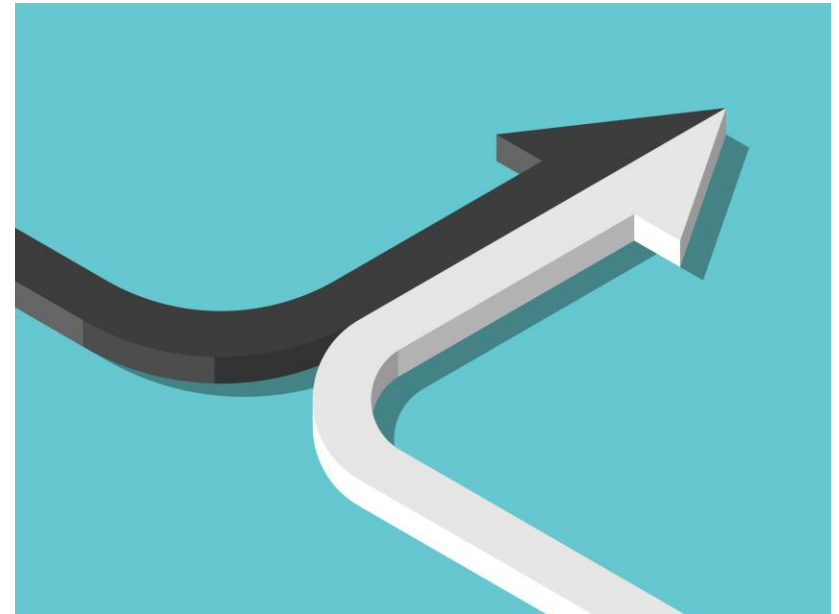
- What the job actually involves, and what it doesn't
- The duties you carry personally, and the ones you share with the board
- How to read, understand and act on your financial reports
- How to keep the money safe, month in and month out
- How to hand the role over in good shape, when the time comes

What exactly is my job?

- ✓ Make sure decisions are made with sound financial information and consideration
- ✓ Translate numbers into stories
- ✓ You might be keeping the books or you might be overseeing someone else in charge of your finances
- ✓ Guide the board to be looking at the right numbers
- ✓ Keep an eye on the internal and external environment and understand how changes may impact your organisation's financial performance and position

Building a strong productive partnership with your CEO

- ✓ Agree early on who does what, so there's no grey area between board and management
- ✓ Set a regular, predictable rhythm for finance conversations, not just at board meetings
- ✓ Ask questions when something's unclear, rather than assuming the CEO has it covered
- ✓ Give the CEO enough context on board expectations that they're not guessing what "good" looks like
- ✓ Build enough trust that hard conversations (overspend, cash pressure, bad news) happen early, not late



What treasurers actually spend their time on...

- ✓ Keeping the accounts, so every dollar in and out is recorded and reconciled
- ✓ Making sure financial systems exist, and that people actually use them
- ✓ Attaching dollar figures to the organisation's strategic plan
- ✓ Monitoring financial risk, and often broader risk and insurance too
- ✓ Assessing banking and investment options
- ✓ Budgeting, and watching income and expenditure against it all year
- ✓ Reporting to the board at every meeting, in language they can follow
- ✓ Reviewing fundraising plans for cost-benefit and financial commitment
- ✓ Understanding tax obligations and concessions
- ✓ Leaving the role in good shape for whoever comes next

As treasurer, do you know...

- ✓ The major accounting terms, like the difference between current and non-current assets and liabilities?
- ✓ How to tell whether your organisation is solvent, right now?
- ✓ How your organisation is funded, and what keeps it afloat?
- ✓ Where your finances are most likely to come under pressure, and why?

Legal duties

- Duty to act bona fide in the best interests of the company
- Duty to exercise powers for proper purposes
- Duty to retain discretion
- Duty to avoid conflict of interest
- Improper use of position in the company
- Use of confidential information
- Related-party transactions
- Payments to directors
- Duty of care, skill and diligence
- Duty to prevent insolvent trading

Five questions worth asking before any decision...

1. Do we know enough about our operations to understand what changes will affect our financial position and annual budget?
2. Do recent bank statements match what's in our finance reports?
3. Are there appropriate delegations of authority and approval processes in place?
4. Is the information in front of us the right amount, and presented in a way that's actually useful?
5. Does everyone at the table, not just me, feel able to make an informed decision?

The aims of sound financial management are to ensure that your organisation:



can meet all of its financial obligations



is prudent and has processes to protect against fraud



complies with all relevant legislation



is professionally managed and directed.

Establish a financial management system:



- Who does what, when and why?
- Policies and procedures
- Authorities and delegations
- Check and balances and compliance
- Controls
- Reporting
- Monitoring and evaluating

Key financial documents and reports

- Budget
- Statement of financial position (Balance sheet)
- Statement of financial performance (Profit and loss)
- Statement of cash flows

Budget

Definition:

An estimate of future income and planned expenses for a period of time (usually a year)

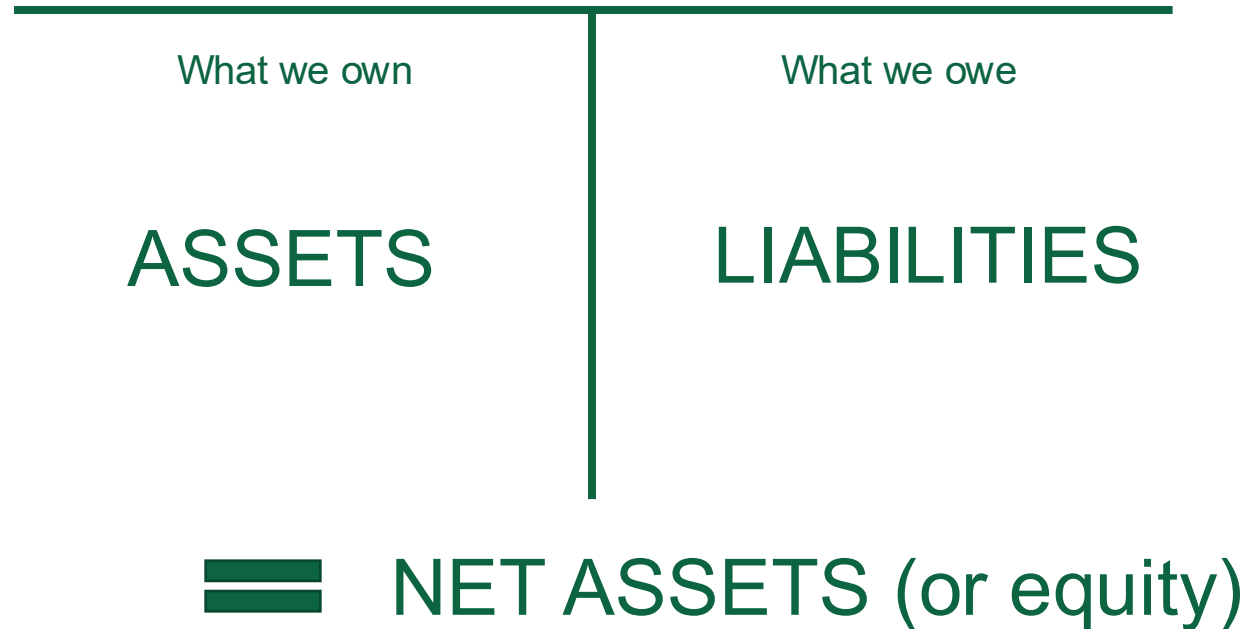
Budgeting is the process of planning your organisation's finances for 12 months. It's all the activities you plan to undertake in the next 12 months, expressed in terms of money.

400 INCOME	Core	Maintenance	Advocacy	Special projects	Total
4-1000 GRANTS	\$ 300,000	\$ 600,000	\$ -	\$ -	\$ 900,000
4-1100 DONATIONS	\$ -	\$ 175,000	\$ 250,000	\$ 75,000	\$ 500,000
4-1200 RENT	\$ 120,000	\$ -	\$ -	\$ -	\$ 120,000
4-1300 INTEREST ON TERM DEPOSIT	\$ 53,000	\$ -	\$ -	\$ -	\$ 53,000
4-1400 MISC	\$ 14,400	\$ -	\$ -	\$ -	\$ 14,400
TOTAL INCOME	\$ 487,400	\$ 775,000	\$ 250,000	\$ 75,000	\$ 1,587,400
600 EXPENSES					
6-1000 ADMINISTRATION	\$ 15,000	\$ 15,000	\$ 5,000	\$ 10,000	\$ 45,000
6-1100 INSURANCE	\$ 20,000	\$ 10,000	\$ -	\$ -	\$ 30,000
6-2000 REPAIRS AND MAINTENANCE	\$ -	\$ 35,000	\$ -	\$ -	\$ 35,000
6-3000 STAFF	\$ 800,000	\$ 250,000	\$ 150,000	\$ 150,000	\$ 1,350,000
6-4000 STAFF LEAVE	\$ 34,000	\$ 18,000	\$ 4,000	\$ 12,000	\$ 68,000
6-5000 DEPRECIATION	\$ 20,560	\$ 12,008	\$ -	\$ -	\$ 32,568
6-6000 MISC	\$ -	\$ 5,000	\$ 5,000	\$ 5,000	\$ 15,000
TOTAL EXPENSES	\$ 889,560	\$ 345,008	\$ 164,000	\$ 177,000	\$ 1,575,568
NET PROFIT/DEFICIT	-\$ 402,160	\$ 429,992	\$ 86,000	-\$ 102,000	\$ 11,832

BALANCE SHEET

Definition:

A point in time statement of what the organisation owns and what it owes.



ASSETS	Everything the organisation owns: cash, inventory and vehicles
<u>CURRENT ASSETS</u>	What the organisation <u>owns</u> that is expected to be turned into cash <u>within a year</u>
Cash at Bank	Cash held in bank accounts
Funds on Hand	Cash held in petty cash and non-bank sources
Debtors	Invoices issued for amounts owing to your organisation (aka Accounts Receivable)
Stock	Goods held by your organisation, awaiting sale (aka Inventory)
Prepaid expenses	Items the organisation has paid for but not yet gained the full use of (although they will do so within the next 12 months). Includes items such as rent and insurance.
<u>NON-CURRENT ASSETS</u>	What the organisation <u>owns</u> that is not a current asset, such as assets that cannot be easily converted into cash.
Investment Funds	All investments held with a maturity greater than one year (eg: term deposits)
Land & Buildings	All land and buildings that are owned in the organisation's name
Office Equipment	All office equipment, such as furniture and computers (valued at original purchase cost)
Depreciation	All non-current assets decline in usefulness as they age. Depreciation is a non-cash item that systematically spreads the cost of each asset (except land) over its useful life.

LIABILITIES	Everything the organisation owes: loans and creditor invoices.
<u>CURRENT LIABILITIES</u>	What the organisation <u>owes</u> that is expected to be paid back <u>within a year</u>
Short-Term Debt	The amounts owing on overdrafts and credit cards.
Current portion of Long-Term Debt	The amount owing within the next 12 months on any long-term loans held in the organisation's name.
Creditors	Amounts owed that the organisation has been invoiced for but has yet to pay (aka Accounts Payable).
Employee entitlements	Items the organisation has gained full use of but not yet paid for (although they will need to do so within the next 12 months). eg: salaries, leave loading and taxes.
Unearned revenue	Payment for a good/service that hasn't been delivered yet
<u>NON-CURRENT LIABILITIES</u>	What the organisation <u>owes</u> that is not a current liability, that is due to be repaid in <u>more than a year</u> .
Long-Term Debt	Total of all loans owed by the organisation with a maturity of greater than one year.
Employee entitlements	With a longer than 12month timeframe e.g. Provision for long service leave

Balance sheet example

Balance sheet with prior period and prior year				
	May-25	Apr-25	May-24	
ASSETS				
CASH				
OPERATING ACCOUNTS	\$ 69,651	\$ 20,655	\$ 78,998	
SAVINGS MAXIMISER ACCOUNT	\$ 567,008	\$ 567,008	\$ 500,000	
TERM DEPOSITS	\$ 830,000	\$ 830,000	\$ 800,000	
PETTY CASH	\$ 360	\$ 400	\$ 500	
CURRENT ASSETS				
ACCOUNTS RECEIVABLE	\$ 2,345	\$ 38,000	\$ 7,689	
NON CURRENT ASSETS				
NON CURRENT ASSETS	\$ 2,459,283	\$ 2,611,691	\$ 2,317,893	
TOTAL ASSETS	\$ 3,928,647	\$ 4,067,754	\$ 3,705,080	
LIABILITIES				
CURRENT LIABILITIES				
ACCOUNTS PAYABLE	\$ 20,737	\$ 40,540	\$ 12,988	
CREDIT CARDS	\$ 9,108	\$ 2,088	\$ 5,662	
GST	\$ 18,023	\$ 21,230	\$ 17,665	
FUNDS RECEIVED IN ADVANCE	\$ 75,000	\$ 150,000	\$ 70,833	
STAFF LEAVE PROVISIONS	\$ 156,888	\$ 162,766	\$ 69,000	
STAFF PAYROLL	\$ 19,066	\$ 21,098	\$ 4,233	
NON CURRENT LIABILITIES				
LOAN	\$ 57,000	\$ 58,567	\$ 75,800	
TOTAL LIABILITIES	\$ 355,822	\$ 456,289	\$ 256,181	
NET ASSETS	\$ 3,572,825	\$ 3,611,465	\$ 3,448,899	
300 EQUITY				
3-800 RETAINED EARNINGS	\$ 3,448,899	\$ 3,448,899	\$ 3,303,221	
3-900 CURRENT YEAR EARNINGS	\$ 123,926	\$ 162,566	\$ 145,678	
TOTAL EQUITY	\$ 3,572,825	\$ 3,611,465	\$ 3,448,899	

How do you validate this?

Net assets

Questions to ask about the balance sheet:

- Is it clear where our assets have come from?
- Are our liabilities (debt) shifting significantly compared to what we forecast?
- Has the value of our net assets fallen?
- Are our current liabilities greater than our current assets?
- Are our net assets negative?
- Are accrued expenses or accounts payable unusually high?

Also worth asking: when did we last value our assets, were they assessed independently, and is our financial position improving or deteriorating over time?

Profit and loss statement

Definition:

A retrospective look at where cash has come from and gone to over a set period.
When compared with the budget it is called budget vs actuals

Profit and loss statement compared to budget										
	May-25					YTD (Jul 24 - May 25)				24-25 FY
	Actuals	Budget	Variance \$	Variance %		YTD Actuals	Budget	Variance \$	Variance %	Annual budget
400 INCOME										
4-1000 GRANTS	\$ 75,000	\$ 75,000	\$ -	0%		\$ 825,000	\$ 825,000	\$ -	0%	\$ 900,000
4-1100 DONATIONS	\$ 500	\$ 20,833	-\$ 20,333	-98%		\$ 221,667	\$ 250,000	-\$ 28,333	-11%	\$ 250,000
4-1200 RENT	\$ 6,000	\$ 8,000	-\$ 2,000	-25%		\$ 90,566	\$ 95,333	-\$ 4,767	-5%	\$ 104,000
4-1300 INTEREST ON TERM DEPOSIT	\$ -	\$ -	\$ -	0%		\$ -	\$ 36,000	-\$ 36,000	-100%	\$ 36,000
4-1400 MISC	\$ 30,000	\$ -	\$ 30,000	30000%		\$ 35,000	\$ -	\$ 35,000	35000%	\$ -
TOTAL INCOME	\$ 111,500	\$ 103,833	\$ 7,667	7%		\$ 1,172,233	\$ 1,206,333	-\$ 34,100	-3%	\$ 1,290,000
GROSS PROFIT	\$ 111,500	\$ 103,833	\$ 7,667	7%		\$ 1,172,233	\$ 1,206,333	-\$ 34,100	-3%	\$ 1,290,000
600 EXPENSES										
6-1000 ADMINISTRATION	\$ 3,467	\$ 3,750	-\$ 283	-8%		\$ 42,777	\$ 41,250	\$ 1,527	4%	\$ 45,000
6-1100 INSURANCE	\$ 2,545	\$ 2,090	\$ 455	22%		\$ 28,000	\$ 22,920	\$ 5,080	22%	\$ 25,000
6-2000 REPAIRS AND MAINTENANCE	\$ 6,500	\$ 2,917	\$ 3,583	123%		\$ 28,556	\$ 32,083	-\$ 3,527	-11%	\$ 35,000
6-3000 STAFF	\$ 66,667	\$ 75,000	-\$ 8,333	-11%		\$ 850,000	\$ 825,000	\$ 25,000	3%	\$ 900,000
6-4000 STAFF LEAVE	\$ 358	\$ 5,667	-\$ 5,309	-94%		\$ 60,554	\$ 62,333	-\$ 1,779	-3%	\$ 68,000
6-5000 DEPRECIATION	\$ 2,714	\$ 2,714	\$ -	0%		\$ 29,854	\$ 29,854	\$ -	0%	\$ 32,568
6-6000 MISC	\$ 5,000	\$ 1,250	\$ 3,750	300%		\$ 8,566	\$ 13,750	-\$ 5,184	-38%	\$ 15,000
TOTAL EXPENSES	\$ 87,251	\$ 93,388	-\$ 6,137	332%		\$ 1,048,307	\$ 1,027,190	\$ 21,117	2%	\$ 1,120,568
NET PROFIT/DEFICIT	\$ 24,249	\$ 10,445	\$ 13,804	132%		\$ 123,926	\$ 179,143	-\$ 55,217	-31%	\$ 169,432

Questions to ask about income and expenses:

Income and revenue

- Has revenue dropped unexpectedly compared with previous years, in any area?
- Is there any one off income, and if so, what's the story behind it?
- Is our income timing on track or do we have a risk of technical insolvency?

Expenses and costs

- Has spending increased without a matching increase in income?
- Has any cost jumped unexpectedly compared with previous years?
- Are there any unusual or unexpectedly significant expenses?
- Is the breakdown of income or expenses detailed enough to be useful?

CASH FLOW STATEMENT

Definition:

A retrospective look at where cash has come from and gone to over a set period.

STATEMENT OF CASH FLOWS

APRIL 2025-MAY 2025

OPERATING ACTIVITIES

RECEIPTS FROM CUSTOMERS	\$	35,655
PAYMENTS TO SUPPLIERS	\$	19,803

INVESTING ACTIVITIES

INTEREST RECEIVED	\$	-
PROCEEDS FROM SALE OF PROPERTY OR EQUIPMENT	\$	30,000
PROCEEDS FROM SALE OF INVESTMENTS	\$	-

FINANCING ACTIVITIES

NET INCREASE/DECREASE FOR THE PERIOD	\$	48,956
CASH AT THE BEGINNING OF THE PERIOD	\$	1,418,063
CASH AT THE END OF THE PERIOD	\$	1,467,019

CASH AT BANK

OPERATING ACCOUNTS AND PETTY CASH	\$	70,011
SAVINGS MAXIMISER	\$	567,008
TERM DEPOSIT	\$	830,000
TOTAL CASH AT BANK	\$	1,467,019

Questions to ask about the cash flow statement

- Do we have enough cash to manage our current liabilities, and our future ones?
- Is our cash flow relatively stable over time?
- If we're seeing a big variance, what's the story behind it?

Finance sub-committee

- **Why?**
- **What do they do?**
- **Who's on it?**
- **What's the cost/benefit of it?**

Benefits:

- Helps to prepare the board with “better” information
- Can reduce the workload and may liaise with stakeholders on board's behalf
- Can monitor and review policy and standards
- Can act independently on “issues”
- Can help succession planning

Needs an instrument of delegation (clear charter)

Building controls into everyday transactions

Money going out

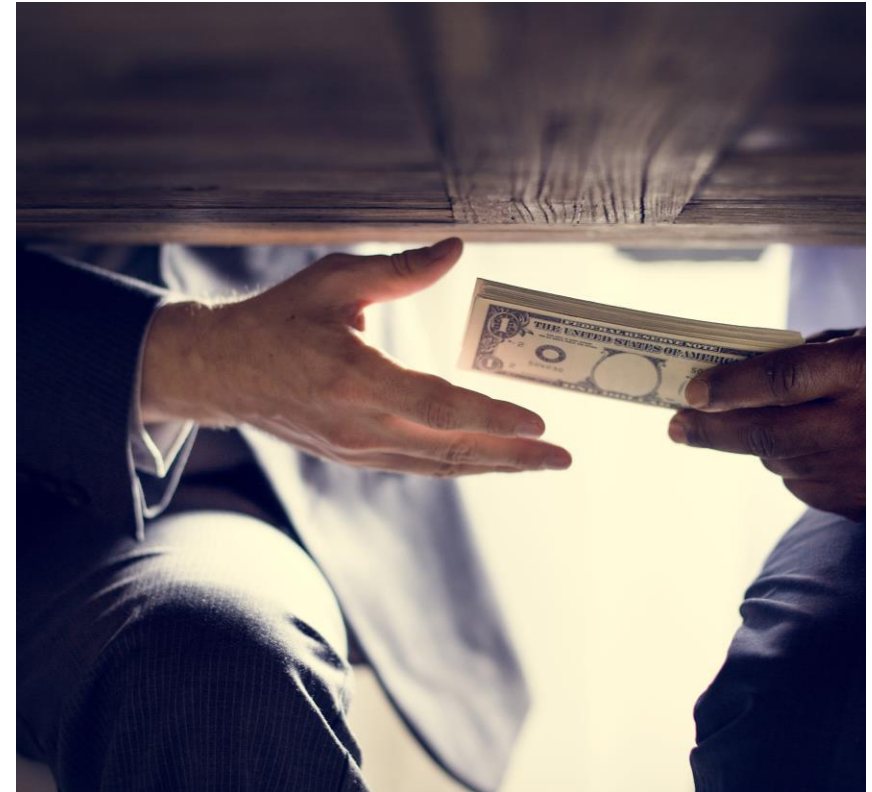
- Require quotes for purchases over a set amount
- Require an authorised purchase order for every purchase, other than petty cash
- Pay by cheque, card or e-commerce only, never cash
- Require tax invoice for all purchases

Money coming in

- Issue a receipt for every incoming payment
- Store cash safely
- Bank income as soon as possible
- Keep the assets register up to date, and have overtime and leave authorised and reviewed

Do I need to worry about fraud?

- The person who receives goods shouldn't be the person who authorised the purchase order
- Every outgoing payment should be signed off by at least two authorised people
- Choose signing officers carefully, and have more than two so there's always cover
- Never, ever sign a blank cheque
- Run a criminal record check on anyone who handles cash
- Put a fraud risk management policy in place, and make sure staff and volunteers know it exists



Warning signs, and habits that catch them early

Keep an eye out for

- Someone who's always available, rarely takes leave, and doesn't let anyone else near their job
- A sudden, unexplained change in someone's lifestyle
- Don't jump to conclusions, but a few extra spot checks won't hurt.

Build these habits in

- Regular bank reconciliations and budget-versus-actual checks
- Spot checks on invoices, cash payments and receipts
- Restrict access to premises, systems and safes to those who need it
- Make sure someone other than you verifies the bank accounts against your reports.

What should be in front of the board at every meeting

- ✓ A statement of financial position (balance sheet)
- ✓ A statement of financial performance (profit and loss)
- ✓ A comparison of budget versus actual
- ✓ A forecast through to the end of the financial year
- ✓ Commentary on variances and the assumptions behind them
- ✓ A cash flow statement
- ✓ An up to date download of current bank account balances

Questions that check in on how we are going?

- Are we generating enough income to cover the work we need to do?
- If we're losing money, do we have the reserves to cover it?
- How much it costs to progress our mission?
- Is our budget sustainable? Are we including enough costs for administration, evaluation, planning?
- Can we pay our debts? Now and in the future?
- How sustainable is our income?
- How quickly could we access our reserves if we suddenly needed to?

How sustainable is our income?

- What proportion of our income comes from our largest funder or income stream?
- If that source disappeared next year, could we survive?
- Are we actively diversifying, or drifting further into reliance on one source?
- Does our reserve policy account for this risk?



You should also ask about:

- **Aged creditors** – how long do we take to pay debts?
- **Aged debtors** – how long do we take to get paid money we are owed?
- **Cash flow projection** – what payments and receipts are coming in the next couple of months?
- Are we compliant with regulatory requirements (e.g. Annual reports, ATO, ACNC)?
- Are we discharging our duties for superannuation (or portable LSL) - if appropriate?

Handing over well

- Don't leave it to the last moment to look around for your replacement
- A finance subcommittee, if you have one, is usually the first place to look
- Bringing someone in cold, with no governance or finance grounding, is asking for trouble
- Don't leave them alone. Where possible, mentor them or get a financially confident board member to mentor them.



Look for honesty, financial literacy, an eye for detail, good communication, and a genuine willingness to learn.

Summary

- You are the first among equals in financial governance
- Your role is to guide and support decision making
- Ensure financial information is suitable for the least confident member
- Encourage “silly” questions
- Set up effective structures, systems and processes to make your life, and those who come after you, easier

Feedback



<https://www.surveymonkey.com/r/2026FOCD>

Questions?



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